

YOUR FINANCIAL REPORT CARD

Target Grade: Grade 6 (Session 1)

Topic: Understanding Credit Scores & CIBIL

1. THE PENCIL LOAN STORY: TRUST BEGINS WITH SMALL PROMISES

Imagine this: You borrow a pencil from a friend and promise to return it at the end of class. You return it sharpened and on time! Your friend trusts you. But what if you lose it or refuse to return it? Trust takes time to build, but can be lost quickly. In the world of adult money, banks think just like your friends!

2. WHAT IS CREDIT?

Credit = Trust. Credit means borrowing something today and promising to return or pay it back in the future. Just as students borrow pencils or library books, adults borrow money from banks for big needs. Banks lend money only to adults they trust will pay them back.

3. WHAT IS A CREDIT SCORE? (THE FINANCIAL REPORT CARD)

Just as an **A+** grade on your school report card shows you studied hard, a high **Credit Score** shows banks that an adult is responsible with money.

- **Score Scale:** Ranges from **300** (Needs Improvement) to **900** (Excellent).
- **In India:** The most popular credit score is called the **CIBIL Score**.
- **Green Zone (750 - 900):** High trust! Banks approve loans quickly with lower interest rates.
- **Red Zone (300 - 600):** Low trust! Needs improvement. Banks may reject loan requests.

4. REAL-WORLD CASE STUDIES

Success Story (Mr. Sharma - Score: 800): Pays electricity and mobile bills on time every month. When he applied for a car loan, the bank approved it instantly because of his strong trust record!

Cautionary Tale (Mr. Verma - Score: 550): Forgot to pay his credit card bills for 3 months. When he requested a loan to renovate his home, the bank said "No". Now he is working hard to rebuild his score.

STUDENT WORKSHEET: FINANCIAL REPORT CARD ARCHITECT

ACTIVITY 1: CIBIL SCORE ZONE IDENTIFIER

Look at each score below and classify it as **Green Zone (Good)** or **Red Zone (Needs Work)**, and state whether a bank is likely to approve their loan request:

PERSON	CIBIL SCORE	TARGET ZONE (GREEN / RED)	EXPECTED BANK DECISION
Ananya	810	-----	-----
Rohan	520	-----	-----
Priya	775	-----	-----
Karan	480	-----	-----

ACTIVITY 2: GOOD HABITS VS. BAD HABITS SORTING GAME

Categorize the following habits into **Score UP ↑** or **Score DOWN ↓** by writing the habit under the correct column:

Habits: (A) Paying utility bills on time | (B) Forgetting credit card deadlines | (C) Borrowing more money than needed | (D) Only borrowing what you can repay

SCORE UP ↑ (INCREASES TRUST)	SCORE DOWN ↓ (DECREASES TRUST)
1.	1.
2.	2.

ACTIVITY 3: STEP-BY-STEP CIBIL CALCULATION SIMULATION

In this exercise, calculate a person's starting score adjustments step-by-step based on their monthly financial habits!

Scenario: Sunita starts with a baseline CIBIL Score of **700**. Follow her financial actions over 4 months and calculate her new final score:

- **Month 1:** Pays her mobile and internet bills on time. **(+30 Points)**
- **Month 2:** Forgets her credit card payment deadline by 2 weeks. **(-50 Points)**
- **Month 3:** Repays a small personal loan completely on schedule. **(+40 Points)**
- **Month 4:** Maxes out all credit cards to buy luxury items she cannot afford. **(-60 Points)**

Step-by-Step Calculation:

- Score after Month 1: $700 + 30 = \text{-----}$
- Score after Month 2: $\text{-----} - 50 = \text{-----}$
- Score after Month 3: $\text{-----} + 40 = \text{-----}$
- Final Score after Month 4: $\text{-----} - 60 = \text{-----}$

Conclusion Question: Is Sunita currently in the Green Zone (750+) or Red Zone? What advice would you give her?

STUDENT PRACTICE ASSESSMENT

SECTION A: THE FUTURE SAVER QUIZ (MULTIPLE CHOICE)

Q1. Which action will help an adult's credit score increase the most?

[A] Paying all bills and loans on time every month

[B] Borrowing more money than they can afford to pay back

[C] Forgetting bill payment deadlines

Q2. What is the full range of the CIBIL Credit Score scale in India?

[A] 0 to 100

[B] 300 to 900

[C] 1 to 10

Q3. What does a high CIBIL score (750+) signal to a bank?

[A] The person never spends any money

[B] The person is trustworthy and manages borrowed money responsibly

[C] The person owns a bank

SECTION B: SHORT ANSWER & REAL-LIFE APPLICATION

Q4. Why do banks care about credit scores when people apply for Home Loans or Education Loans?

Q5. How is borrowing a pencil from a classmate similar to an adult taking a loan from a bank? Explain the concept of the "Trust Bond".

SUMMARY: 4 KEY TAKEAWAYS TO REMEMBER

1. **Credit = Trust:** Borrowing something with a promise to return it on time.
2. **Score = Report Card:** A number between 300 and 900 reflecting borrowing habits.
3. **Aim for 750+:** Scores above 750 place you in the Green Zone!
4. **Punctuality Matters:** Paying on time is the single best habit to build financial trust.